

Summary

This chapter began with a description of Jon Corzine, an extremely experienced and accomplished financial expert, who managed to bankrupt a giant commodity brokerage firm. This anecdote gives rise to the notion that we should be skeptical of experts. To explore this question further, we reviewed the case of recidivism, and how models seem to beat experts both in a study as well as in the real world. Next, we reviewed a meta-study, which showed that models meet or beat experts across a variety of settings. We then highlighted additional research that showed experts couldn't beat a model, even when armed with output from the model. This also appears to be the case with investing, where clients systematically detracted from their portfolio's performance when they overrode the model's recommendation. Finally, we discussed why experts, who are influenced by their intuition, are often wrong.

Here's the bottom line: everyone makes mistakes. And because we recognize our frequent irrational urges, we often seek the judgment of experts, to avoid becoming our own worst enemy. We assume that experts, with years of experience in their particular fields, are better equipped and incentivized to make unbiased decisions. But is this assumption valid? A surprisingly robust, but neglected branch of academic literature, has studied, for more than 60 years, the assumption that experts make unbiased decisions. The evidence tells a decidedly one-sided story: Systematic decision-making, through the use of simple quantitative models with limited inputs, outperforms discretionary decisions made by experts. We'll leave the last word to Paul Meehl, the eminent scholar in the field of psychology, *"There is no controversy in social science that shows such a large body of qualitatively diverse studies coming out so uniformly in the same direction as this one [models outperform experts]."*¹²

Notes

¹ US Commodity Futures Trading Commission vs. MF Global Inc. Civil Action No. 4463 accessed December 29, 2014, <http://www.cftc.gov/ucm/groups/public/@lrenforcementactions/documents/legalpleading/enfmfglobalcomplaint062713.pdf>.